Markets

Gold Rises on China's Covid Shift, Signs of Cooler US Inflation

By Bloomberg News

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Gold rose – trading above $1,800 an ounce – as China swept away more of its Covid-19 controls, piling pressure on the dollar as risk assets gained.

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China will no longer subject inbound travelers to quarantine from early January, adding to the rapid rollback of strict pandemic rules and boosting sentiment toward Asia's biggest economy.

- Markets are also digesting US data on Friday that pointed to softer inflation and slower consumer spending, which could ease pressure on the Federal Reserve for more rate hikes
- Gold has gained more than 9% this quarter, helped by the greenback's retreat and hopes that the Fed will slow aggressive monetary tightening
- Spot gold rose 1.7% to $1,828.86 an ounce as of 10:39 a.m. in New York on Tuesday; the Bloomberg Dollar Index dropped 0.3% and is close to its lowest since June. Silver and palladium were higher while platinum slipped
- Separately, copper in New York gained 2.4%